

Board of Directors Package

Vanguard Auto Parts — Q4 2022

Board Meeting: February 6, 2023 | Confidential — Board Use Only

Date	February 6, 2023
Location	Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111
Board Members	M. Tang, D. Okafor (Atlas Crossing); B. Harmon (CEO); J. Whitfield, C. Moore (Independent)
Management	B. Harmon (CEO); T. Nguyen (CFO); S. Park (COO); M. Ellis (SVP Sales)
Deal Team	M. Tang (MD), D. Okafor (Principal), N. Patel (VP), A. Ross (Associate)

Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook
9. Other business / adjourn

Executive Summary

Vanguard Auto Parts delivered Q4 2022 revenue of \$206.1M and EBITDA of \$19.0M (9.2% margin), ahead of budget by 3.1%. E-commerce reached 20% of revenue — a major value creation milestone —

while private label launched with 12 SKUs and a 34% reorder rate. Southeast Parts Network acquired this quarter. Atlanta, GA — aftermarket distributor serving 6 Southeast states; adds 340 independent shop accounts and 3 DCs.

Financial Performance

Metric	Q4 2022 Actual	Budget	Var. to Bud.	Prior Year Qtr	YoY
Revenue	\$206.1M	\$199.9M	+3.1%	\$164.0M	+25.7%
Gross Profit	\$49.1M	—	—	—	—
Gross Margin %	23.8%	—	—	—	—
EBITDA	\$19.0M	\$18.0M	+5.6%	\$14.4M	+31.9%
EBITDA Margin %	9.2%	—	—	—	—
D&A	(\$6.2M)	—	—	—	—
EBIT	\$12.8M	—	—	—	—
Interest	(\$8.7M)	—	—	—	—
Net Leverage	6.3x	—	—	Entry: 6.8x	—
LTM EBITDA	\$71.3M	—	—	Entry: \$52.7M	—

Operational KPIs

KPI	Current Quarter	Entry Baseline	Target
E-commerce % of Revenue	16.2	8.0	Target: 28.0
SKU Count (active)	209,000.0	182,000.0	Target: 248,000.0
Warehouse Locations	17.0	12.0	Target: 19.0
Fill Rate %	95.7	94.2	Target: 97.8

Strategic Initiatives

Initiative	Status	Detail
Detroit integration	Completed	Systems unified Q2; customer retention 98%; ahead of plan
Southeast Parts integration	In progress	Day-1 complete; systems cutover Q1 2023 target
E-commerce scaling	Ahead of plan	20% of revenue; 3,200 accounts activated; mobile app Q1 2023
Private label launch	Launched	12 SKUs live; 34% reorder rate vs. 25% target

Key Risks & Mitigation

Risk	Severity	Mitigation
Southeast integration complexity	Medium	Two-DC acquisition in new geography; playbook from Detroit applied
Leverage post-acquisitions	Medium	Leverage increased with two bolt-ons; declining on strong FCF
Input cost inflation	Low	Supplier contracts locked; PL margin protected

Next Quarter Outlook

Q1 Q1 2023 expected \$209.0M. Southeast integration target Q1 2023. E-commerce targeting 23% by YE 2023. Southwest bolt-on evaluation begins.

Confidential — prepared for the Board of Directors of Vanguard Auto Parts and Atlas Crossing Partners. Not for distribution.